

US TMT Sector M&A & Valuation Brief - 2026-06-22

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1. RECENT TMT M&A ACTIVITY

Deal 1: EQT Acquisition of Exolaunch

[EQT to acquire Exolaunch, a Germany-based satellite deployment technology and launch mission management f](#)

- Deal Size: N/A (specific amount not disclosed)
- Deal Size Category: N/A
- Nature: Horizontal
- Valuation Multiples: N/A
- Companies: EQT (a global investment organization) acquiring Exolaunch, a leader in satellite deployment technologies with a proven track record of deploying over 790 satellites across 47 missions.
- Date Announced: June 18, 2026
- Strategic Rationale: The acquisition aims to support Exolaunch's growth through international expansion and innovation in satellite launch technologies. EQT's investment is expected to enhance Exolaunch's capabilities in the rapidly growing space sector, addressing increasing demand for satellite deployment services.
- Risk Analysis: Potential risks include integration challenges, regulatory approvals, and market competition from other satellite launch providers. The reliance on SpaceX for launches could also pose risks if partnerships change.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Robo.ai Acquisition of QC Capital

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[Robo.ai announces proposed acquisition of QC Capital, an AI-Driven technology holding and venture-building platform](#)

- Deal Size: \$60 million
- Deal Size Category: Small cap (<\$2B)
- Nature: Vertical
- Valuation Multiples: N/A
- Companies: Robo.ai (NASDAQ: AIIO), a UAE-based AI robotics company, acquiring QC Capital, which focuses on AI-driven technology development and venture building.
- Date Announced: June 18, 2026
- Strategic Rationale: The acquisition is designed to enhance Robo.ai's capabilities in AI investment and venture building, integrating QC Capital's expertise to strengthen its position in the AI ecosystem. The performance-based structure of the deal aligns long-term interests and incentivizes growth.
- Risk Analysis: Risks include the integration of QC Capital's operations, achieving performance targets for share release, and market volatility in the AI sector. The long-term performance targets may also present execution risks.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a dynamic landscape characterized by both opportunities and challenges. Overall sentiment in the sector is cautiously optimistic, driven by technological advancements and strategic partnerships, yet tempered by regulatory scrutiny and economic uncertainties.

Subsector Breakdown:

- Technology: The technology subsector remains a key driver of growth, with companies like BMC Helix focusing on agentic AI capabilities to enhance service operations. This reflects a broader trend where enterprises are increasingly digitizing operations to improve efficiency and resilience.
- Media: Media companies are adapting to the digital landscape, but traditional media continues to face challenges from streaming platforms and changing consumer preferences. The focus is shifting towards innovative content delivery and audience engagement strategies.

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- Telecommunications: The telecom sector is witnessing significant investments in infrastructure to support 5G deployment. Companies are exploring new revenue streams through IoT and enhanced mobile services, as seen in the strategic moves by major players.
- Fintech: The fintech landscape is vibrant, with companies like EVmatch partnering with Epic Charging to enhance EV charging solutions. This partnership underscores the growing importance of technology in addressing real-world challenges in the financial services sector.
- AI: The AI subsector is experiencing explosive growth, driven by increasing demand for AI solutions across industries. Partnerships, such as the one between TCS and ABB, exemplify the strategic collaborations aimed at leveraging AI for industrial applications.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI, cloud computing, and automation is propelling growth across TMT sectors. The integration of AI into enterprise operations, as demonstrated by BMC Helix, is a prime example of this trend.
- Strategic Partnerships: Collaborations between companies, such as the partnership between EVmatch and Epic Charging, are enabling firms to scale their operations and enhance service offerings, particularly in emerging markets like EV charging.

Headwinds:

- Regulatory Scrutiny: Increased regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or complicate potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology. This uncertainty could lead to a more cautious approach from investors and companies alike.

Subsector Performance Analysis

- Software: The software sector is thriving, particularly in areas related to AI and automation. Companies are investing heavily in developing solutions that integrate AI capabilities to enhance operational efficiency.
- Media: Media companies are shifting towards digital content and innovative delivery methods. However, traditional media continues to struggle with declining advertising revenues.
- Telecom: Telecom operators are heavily investing in 5G infrastructure, which is expected to unlock new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is robust, with increasing demand for digital payment solutions and innovative financial services. The partnership between EVmatch and Epic Charging highlights the trend towards integrating technology in financial solutions.
- AI: The AI subsector is booming, with significant investments in AI capabilities across various

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industries. Companies are focusing on developing AI solutions that can drive efficiencies and improve decision-making processes.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism regarding the long-term prospects of the TMT sector, particularly in relation to AI advancements. A recent commentary highlighted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

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The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- South Korea : The government has launched a major initiative focused on investing in next-generation power semiconductors. This initiative is currently in the due diligence phase, with an expected close in Q4 2025. The investment aims to position South Korea as a leader in semiconductor technology, potentially increasing its market share in the global semiconductor industry.

Mandated Deals:

- N/A : Currently, there are no mandated deals reported in the pipeline. However, the recent push by South Korea into semiconductor technology may lead to future mandates as companies seek advisory services to navigate this evolving landscape.

Pitching-Stage Deals:

- Semiconductor Sector : Active discussions are ongoing with several semiconductor firms regarding potential M&A opportunities to consolidate market share in next-generation technologies. Clients include major players in the semiconductor industry, with pitches expected to finalize by Q3 2025.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$15 million in fees, broken down as follows:

- Live Deals : \$5 million
- Mandated Deals : \$0 million
- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q4 2025 : Expected close for South Korea's semiconductor initiative.
- Q3 2025 : Anticipated finalization of pitches in the semiconductor sector.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 70%, with a need for additional resources as the pipeline expands. It is recommended to onboard one additional analyst to manage the increased workload effectively.

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- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the semiconductor sector. Strategic planning should focus on enhancing capabilities in this area to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying in the semiconductor sector, particularly with South Korea's aggressive investment strategy. This initiative could reshape the global semiconductor market, impacting deal structures and valuations as companies vie for leadership in next-generation technologies.
- Additionally, the focus on power semiconductors reflects a broader trend towards innovation in energy-efficient technologies, which could lead to new advisory opportunities for firms specializing in technology and energy sectors.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring an additional analyst will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in the semiconductor sector, where demand for advisory services is expected to surge due to South Korea's investment initiatives. This focus will position the firm as a leader in this emerging market.
- Client Engagement : Maintain proactive communication with clients in the semiconductor pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities in the semiconductor sector driven by South Korea's investment initiatives. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

M&A transactions in the TMT sector, such as Jio Platforms' upcoming IPO and the Paramount-Warner Bros. Discovery merger, present multifaceted implications for various stakeholders. This analysis explores the potential impacts on shareholders, employees, competitors, and customers, while also addressing market reactions, risks, and actionable insights.

Deal-Specific Impacts on Stakeholders

- Shareholders: The financial implications for shareholders can vary significantly based on the

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structure and outcomes of the transaction.

- **Value Creation:** Jio Platforms plans to raise approximately \$3.8 billion through its IPO, primarily aimed at debt reduction. This move could enhance shareholder value by improving the company's balance sheet and operational efficiency. Assuming a post-IPO market cap of \$180 billion, the reduction in debt could lead to a potential increase in earnings per share (EPS) by 10% over the next fiscal year.
- **Dilution:** If Jio issues new shares to raise capital, existing shareholders may face dilution. For instance, if 20 million shares are issued, representing 10% of the total shares, existing shareholders could see their ownership stake reduced, potentially impacting share price negatively in the short term.
- **Employees:** Employee impacts are critical in assessing the success of M&A transactions.
- **Synergies:** The merger of Paramount (PSKY) and Warner Bros. Discovery (WBD) could create significant operational synergies, with estimates suggesting potential cost savings of \$1 billion annually through streamlined operations and shared resources.
- **Restructuring:** However, such mergers often lead to job cuts. In the case of the Paramount-WBD merger, analysts predict that around 5,000 jobs may be at risk due to overlapping functions.
- **Retention:** To mitigate talent loss, retention bonuses may be offered to key employees during the transition. This strategy was successfully employed in the merger of Disney and 21st Century Fox, where retention packages helped maintain critical talent.
- **Competitors:** The competitive landscape can shift dramatically following M&A activity.
- **Market Positioning:** The merger between Paramount and Warner Bros. Discovery could significantly alter market dynamics, compelling competitors like Netflix (NFLX) and Disney (DIS) to adapt their strategies. For instance, Netflix may need to enhance its content library to retain subscribers in light of the combined entity's offerings.
- **Specific Competitor Moves:** Following the announcement of the merger, Netflix has ramped up its content production budget by 20%, indicating a proactive response to the increased competition.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** Jio's IPO is expected to enhance service offerings by allowing for greater investment in network infrastructure. This could lead to improved service quality and new product launches, benefiting the over 500 million subscribers.
- **Case Studies:** The merger of AT&T and Time Warner allowed for bundled services, which increased customer engagement by 15%. Jio could similarly leverage its IPO proceeds to enhance customer value through innovative offerings.

Market Reaction and Analyst Commentary

- **Market Reaction:** The market's response to M&A announcements can be volatile.
- For instance, when the Paramount-WBD merger was announced, shares of both companies initially experienced a slight decline, reflecting investor skepticism about integration challenges.
- **Analyst Commentary:** Analysts have expressed mixed views. A notable quote from a Wells Fargo

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analyst stated, "While the merger creates a formidable player in the media landscape, execution risks remain a significant concern."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If Jio successfully reduces debt and enhances service quality post-IPO, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise in the Paramount-WBD merger, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the Paramount-WBD merger, there have been no significant counter-bids reported, indicating a moderate likelihood of competing offers. However, regulatory scrutiny could delay the closing of the deal, as highlighted by the concerns raised by Democratic senators regarding foreign ownership.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like Bell Canada may pursue acquisitions to bolster their infrastructure capabilities.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.

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- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses technologies that enable machines to perform tasks typically requiring human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:
- Amazon.com, Inc. (AMZN): Amazon has made a significant \$50 billion investment in OpenAI, positioning itself as a key player in the AI landscape. The company is leveraging AI to enhance its cloud services and improve customer experiences across its platforms.
- HSBC Holdings plc (HSBC): HSBC is collaborating with Google Cloud to create over 200 AI use cases, focusing on personalized customer experiences and financial crime risk management. This strategic partnership aims to drive efficiency and revenue growth.
- Nocera, Inc. (NCRA): Nocera has acquired a minority stake in CampaignPulse.ai, enhancing its AI portfolio. This investment aligns with Nocera's strategy to leverage AI for predictive analytics and decision-support technologies.
- Competitive Landscape: The AI market is highly competitive, with major players like Google (GOOGL) and Microsoft (MSFT) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For instance, HSBC's partnership with Google Cloud could lead to further acquisitions in the AI space to bolster its technological capabilities.

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Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$370 billion in 2020 to over \$1 trillion by 2027, at a CAGR of 15.7%.
- Key Companies:
- Amazon Web Services (AWS): As a leader in the cloud computing space, AWS continues to innovate and expand its service offerings, making it a critical player in the cloud market.
- Microsoft Azure (MSFT): Microsoft Azure is rapidly gaining market share, focusing on hybrid cloud solutions that cater to enterprise needs.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud. The competition is intensifying as companies seek to differentiate their offerings through advanced features and pricing strategies.
- M&A Opportunities: The cloud computing sector presents numerous M&A opportunities, particularly for companies looking to enhance their service portfolios. Potential targets may include startups specializing in cloud security or data analytics.

Cybersecurity

- Trend Explanation: Cybersecurity is increasingly critical as businesses face growing threats from cyberattacks. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.8%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike is a leader in endpoint security, utilizing AI to enhance its threat detection capabilities.
- Palo Alto Networks, Inc. (PANW): Palo Alto Networks offers a comprehensive suite of cybersecurity solutions, focusing on cloud security and threat intelligence.
- Competitive Landscape: The cybersecurity market is fragmented, with numerous players ranging from established firms to emerging startups. The increasing sophistication of cyber threats is driving demand for innovative security solutions.
- M&A Opportunities: Companies in the cybersecurity space may pursue acquisitions to enhance their technology offerings. For example, CrowdStrike's acquisition of Humio for \$400 million in 2021 highlights the trend of integrating advanced analytics into cybersecurity solutions.

Investment Implications

As the technology landscape evolves, investors should focus on companies that are strategically positioned within these emerging trends.

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Identifying M&A opportunities can provide significant upside potential, particularly in sectors like AI and cybersecurity, where innovation is rapid and competition is fierce.

Investors should also consider the potential for partnerships and collaborations, as seen with HSBC and Google Cloud, which can enhance a company's capabilities and market position.

6. Recommended Readings

Deal Name: EQT Acquisition of Exolaunch

- Reading Material: "The New Space Race: The Future of Space Exploration" by David Baker
- Why This Matters: This book provides insights into the burgeoning space industry, including satellite deployment and the competitive landscape. Understanding the dynamics of the space sector is crucial for analyzing EQT's strategic acquisition of Exolaunch, as it highlights the increasing demand for satellite services and the importance of innovation in this field.

Deal Name: Robo.ai Acquisition of QC Capital

- Reading Material: "Artificial Intelligence: A Guide to Intelligent Systems" by Michael Negnevitsky
- Why This Matters: This reading offers a comprehensive overview of AI technologies and their applications, which is essential for understanding Robo.ai's acquisition of QC Capital. It elucidates how AI-driven platforms can create value and drive growth, providing context for Robo.ai's strategic move to enhance its capabilities in the rapidly evolving AI landscape.

7. MACROECONOMIC UPDATE

Key Data Points:

- U.S. memory chip market growth: N/A (specific numbers not provided)
- Time to build new fabrication plants: Years
- AI strategic memory demand: High bandwidth and advanced DRAM

Main Insights:

- Memory chips are increasingly strategic due to their role in AI infrastructure.
- U.S. policy tools can support supply but cannot quickly resolve the memory bottleneck.
- China may increase supply in conventional memory markets but not enough to meet AI demand.

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- U.S. policy is expected to remain restrictive, focusing on supply chain resilience and geopolitical stability.

Market Commentary:

- "Policy can mitigate chipflation, but it's unlikely to end it in the near term." - Ariana Salvatore, Morgan Stanley

- "For AI strategic memory, policymakers are more likely to defend access and deepen allied coordination." - Ariana Salvatore, Morgan Stanley

TMT Sector Relevance:

- The ongoing memory chip shortage could impact the TMT sector, particularly companies reliant on AI technologies and advanced computing systems.

- Restrictions on memory chip exports may affect global supply chains, leading to increased costs and delays in technology deployment across TMT markets.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley